EAST AFRICAN PORTLAND CEMENT PLC

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED 30 JUNE 2021

Group and Company statement of profit or loss and other comprehensive income

	Notes	Group Year ended 30 June 2021 Shs'000	Group Year ended 30 June 2020 Shs'000	Company Year ended 30 June 2021 Shs'000	Company Year ended 30 June 2020 Shs'000
Revenue	6	2,762,748	2,474,902	2,762,748	2,474,902
Cost of sales	7	(3,583,282)	(3,300,350)	(3,583,282)	(3,300,350)
Gross loss		(820,534)	(825,448)	(820,534)	(825,448)
Other operating income	8	108,663	198,864	108,663	198,864
Selling and distribution	9	(127,145)	(177,694)	(127,145)	(177,694)
Administration and establishment	10	(888,400)	(1,859,448)	(888,134)	(1,858,567)
Other operating expenses	11	(1,484,950)	(464,815)	(1,484,950)	(464,815)
Loss from operations		(3,212,366)	(3,128,541)	(3,212,100)	(3,127,660)
Finance income	12	149	1,456	149	1,456
Finance costs	12	(835,694)	(786,304)	(835,694)	(786,304)
Fair value gain on investment property	18	5,783,847	1,114,779	5,783,847	1,114,779
Profit / (loss) before tax		1,735,936	(2,798,610)	1,736,202	(2,797,729)
Income tax credit	14	151,644	29,263	151,644	29,263
Profit / (loss) for the year		1,887,580	(2,769,347)	1,887,846	(2,768,466)
Other comprehensive income for the year					
Items that will not be reclassified subsequently to profit or loss					
Remeasurement of post-employment benefit obligations, net of tax	25	106,471	(18,686)	106,471	(18,686)
Revaluation surplus on property, plant and equipment		264,274	-	264,274	-
Items that may be subsequently reclassified to profit or loss					
Exchange differences on translation of foreign operation, net of tax		659	21,195	-	-
Total comprehensive income / (loss) for the year		2,258,984	(2,766,838)	2,258,591	(2,787,152)
Earnings / (loss) per share					
- Basic and diluted (Shs)	15	20.97	(30.77)	20.98	(30.76)

Group and Company statement of financial position

	Notes	Group At 30 June 2021	Group At 30 June 2020	Company At 30 June 2021	Company At 30 June 2020
ASSETS		Shs'000	Shs'000	Shs'000	Shs'000
Non-current assets					
Investment properties	18	25,271,720	24,909,676	25,271,720	24,909,676
Property, plant and equipment	16	6,867,262	6,931,317	6,867,242	6,931,297
Due from related parties	34(iii)	-	860,985	-	860,985
Right-of-use assets	33(b)	58,687	60,671	58,687	60,671
Investment in subsidiary	19	-	-	2,500	2,500
		32,197,669	32,762,649	32,200,149	32,765,129
Current assets					
Trade and other receivables	23	1,287,270	1,174,201	1,255,923	1,141,401
Inventories	22	1,084,314	1,112,167	1,084,314	1,112,167
Cash and cash equivalents	21	31,622	81,524	20,649	71,472
Current income tax	14	40,235	46,352	40,379	46,211
		2,443,441	2,414,244	2,401,265	2,371,251
TOTAL ASSETS		34,641,110	35,176,893	34,601,414	35,136,380
EQUITY AND LIABILITIES					
Capital and reserves					
Share capital	24	450,000	450,000	450,000	450,000
Share premium	24	648,000	648,000	648,000	648,000
Asset revaluation reserves	24	1,445,626	1,181,352	1,445,626	1,181,352
Retained earnings		18,431,370	16,437,319	18,431,493	16,437,176
Other reserves	24	37,128	36,469	-	-
TOTAL EQUITY		21,012,124	18,753,140	20,975,119	18,716,528
Non-current liabilities					
Post-employment benefits obligation	25	427,341	146,176	427,341	146,176
Lease liabilities	33(a)	20,445	33,809	20,445	33,809
		447,786	179,985	447,786	179,985
Current liabilities					
Borrowings	26	3,679,415	7,523,601	3,679,415	7,523,601
Trade and other payables	28	9,361,564	7,248,198	9,358,873	7,244,297
Post-employment benefits obligation	25	-	1,346,737	-	1,346,737
Dividends payable	29	101,680	101,680	101,680	101,680
Lease liabilities	33(a)	38,541	23,552	38,541	23,552
		13,181,200	16,243,768	13,178,509	16,239,867
TOTAL EQUITY AND LIABILITIES		34,641,110	35,176,893	34,601,414	35,136,380

The financial statements on pages 24 to 69 were approved for issue by the board of directors on _____2021 and signed on its behalf by:

Edwin Muriithi Kinyua
Chairman

Oliver Mwandigha Kirubai
Managing Director

Group statement of changes in equity

Year ended 30 June 2020	Share capital Shs'000	Share premium Shs'000	Asset revaluation reserves Shs'000	Retained earnings Shs'000	Other reserves Shs'000	Total Shs'000
At start of year	450,000	648,000	1,360,599	19,046,105	15,274	21,519,978
Transfer of excess depreciation	-	-	(238,996)	238,996	-	-
Deferred tax on excess depreciation	-	-	59,749	(59,749)	-	-
Loss for the year	-	-	-	(2,769,347)	-	(2,769,347)
Other comprehensive income	-	-	-	(18,686)	21,195	2,509
Total comprehensive loss for the year	-	-	-	(2,788,033)	21,195	(2,766,838)
At end of year	450,000	648,000	1,181,352	16,437,319	36,469	18,753,140
Year ended 30 June 2021						
At start of year	450,000	648,000	1,181,352	16,437,319	36,469	18,753,140
Profit for the year	-	-	-	1,887,580	-	1,887,580
Other comprehensive income	-	-	264,274	106,471	659	371,404
Total comprehensive income for the year	-	-	264,274	1,994,051	659	2,258,984
At end of year	450,000	648,000	1,445,626	18,431,370	37,128	21,012,124

Company statement of changes in equity

	Share Capital	Share Premium	Asset revaluation reserves	Retained earnings	Total equity
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Year ended 30 June 2020					
At start of year	450,000	648,000	1,360,599	19,045,081	21,503,680
Transfer of excess depreciation	-	-	(238,996)	238,996	-
Deferred tax on excess depreciation	-	-	59,749	(59,749)	-
Loss for the year	-	-	-	(2,768,466)	(2,768,466)
Other comprehensive income	-	-	-	(18,686)	(18,686)
Total comprehensive loss for the year	-	-	-	(2,787,152)	(2,787,152)
At end of year	450,000	648,000	1,181,352	16,437,176	18,716,528
Year ended 30 June 2021					
At start of year	450,000	648,000	1,181,352	16,437,176	18,716,528
Profit for the year	-	-	-	1,887,846	1,887,846
Other comprehensive income	-	-	264,274	106,471	370,745
Total comprehensive income for the year	-	-	264,274	1,994,317	2,258,591
At end of year	450,000	648,000	1,445,626	18,431,493	20,975,119

Group and Company statement of cash flows

	Notes	Group Year ended 30 June 2021 Shs'000	Group Year ended 30 June 2020 Shs'000	Company Year ended 30 June 2021 Shs'000	Company Year ended 30 June 2020 Shs'000
Cash flows from operating activities					
Net cash used in operations	32	(1,858,212)	(1,495,734)	(1,859,418)	(1,495,838)
Interest paid		(361,763)	(20,269)	(361,763)	(20,269)
Post- employment benefits paid		-	(487,034)	-	(487,034)
Interest received		149	1,456	149	1,456
Income tax paid	14	(1,699)	(322)	(1,414)	(322)
Net cash used in operating activities		(2,221,525)	(2,001,903)	(2,222,446)	(2,002,007)
Cash flows from investing activities					
Purchase of property, plant and equipment	16	(96,562)	(6,354)	(96,562)	(6,289)
Proceeds from the previous sale of investment properties		1,750,000	2,000,000	1,750,000	2,000,000
Proceeds from disposal of investment properties		4,850,000	-	4,850,000	-
Proceeds on sale of motor vehicles		-	7,738	-	7,738
Net cash generated from investing activities		6,503,438	2,001,384	6,503,438	2,001,449
Cash flows from financing activities					
Proceed from borrowings	26	184,182	1,375,065	184,182	1,375,065
Repayment of borrowings - principal	26	(4,488,237)	(144,305)	(4,488,237)	(144,305)
Repayment of principal portion of lease liability	33	(27,760)	(15,555)	(27,760)	(15,555)
Net cash (used in) / generated from financing activities		(4,331,815)	1,215,205	(4,331,815)	1,215,205
Net (decrease) / increase in cash and cash equivalents		(49,902)	1,214,686	(50,823)	1,214,647
Movement in cash and cash equivalents					
At start of year		81,524	(1,133,162)	71,472	(1,143,175)
(Decrease) / increase		(49,902)	1,214,686	(50,823)	1,214,647
At end of year	21	31,622	81,524	20,649	71,472